

SENATE BILL 1248

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 8; Title 33; Title 39; Title 49; Title 53; Title 56;
Title 63; Title 68 and Title 71, relative to mental
health.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-2360, is amended by deleting subdivisions (a)(1)(E) and (F) and substituting:

(E) "Health benefit plan":

(i) Means a hospital or medical expense policy; health, hospital, or medical service corporation contract; a policy or agreement entered into by a health insurer or a health maintenance organization contract offered by an employer; other plans administered by the state government; or a certificate issued under the policies, contracts, or plans; and

(ii) Includes a plan of coverage under TennCare or a successor program provided for pursuant to title 71, chapter 5;

(F) "Health insurance carrier":

(i) Means an entity subject to this title, or subject to the jurisdiction of the commissioner of commerce and insurance, that contracts with healthcare providers in connection with a plan of health insurance, health benefits, or health services; and

(ii) Includes a vendor, as defined in § 71-5-103, or an entity that provides a health benefit plan of coverage under TennCare or a successor program provided for pursuant to title 71, chapter 5;

SECTION 2. Tennessee Code Annotated, Section 56-7-2360(b), is amended by deleting "provided, that for purposes of a TennCare health benefit plan, additional criteria used must ensure that benefit determination, including coverage and reimbursement for the treatment of alcoholism or drug dependence, remain in parity with benefit determination for the treatment of mental health disorders." and substituting "provided, further, that additional criteria used must ensure that benefit determination, including coverage for the treatment of alcoholism or drug dependence, remain in parity with benefit determination for the treatment of mental health disorders."

SECTION 3. Tennessee Code Annotated, Section 56-7-2360(c), is amended by deleting the subsection and substituting:

(c) Notwithstanding another law to the contrary, a health benefit plan issued by a health insurance carrier must provide coverage for mental health services and treatment to the same extent that the health benefit plan provides coverage for the treatment of alcoholism and drug dependence.

SECTION 4. Tennessee Code Annotated, Section 56-7-2360(e)(4)(E), is amended by deleting the subdivision and substituting:

(E) A detailed explanation regarding parity in coverage and rates of reimbursement for mental health services and alcoholism and drug dependency services in compliance with § 56-7-2360(c);

SECTION 5. Tennessee Code Annotated, Section 56-7-2601(e), is amended by adding the following as a new subdivision:

(4) A residential or other mental health treatment facility licensed under title 33, chapter 2, part 4.

SECTION 6. Tennessee Code Annotated, Section 56-7-2601(g)(5), is amended by deleting the semicolon at the end of the subdivision and substituting "; provided, that coverage

for mental health treatment must remain in parity with coverage for alcoholism and drug dependence coverage;"

SECTION 7. This act takes effect July 1, 2025, the public welfare requiring it, and applies to policies, plans, and contracts entered into, renewed, amended, or modified on or after that date.